NQ & GOLD — COT-BASED TRADING PLAN

Trading Window: Monday Nov 2 – Tuesday Nov 3, 2026 | COT Data: CFTC week ending Oct 27, 2026 (released Fri Oct 30) | Prepared Oct 30, 2026

NQ

Lev Funds: BULLISH (IDX 86) | **Broad NonComm: BULLISH (IDX 69)** | **CONFIRMED**

4-Week Positioning Trend — Leveraged Funds (net contracts)

	09/29	10/06	10/13	10/20	10/27
Lev Fund Net	-24,723	-19,212	-11,593	950	2,301
Weekly Δ	+5,960	+5,511	+7,619	+12,543	+1,351

Positioning Breakdown

- **The short-covering run is done, and it has stalled at the top of the range.** Leveraged Funds covered for five straight weeks, from –30,683 net short (09/22) to net long. The biggest week was 10/20 (+12,543), which flipped them to +950. This week added only +1,351 (to +2,301). The COT Index went 60 → 65 → 73 → 84 → 86, so hedge funds now sit at the long extreme of their 70-week range.
- Source 2 (Tradingster Non-Commercial) is Bullish at IDX 69, so the two sources are **CONFIRMED** Bullish. But Source 2 has gone flat while Source 1 climbed: it read 70 → 72 → 69 → 70 → 69 over the same five weeks, and Non-Commercial net long slipped from 50,726 to 48,839 this week. Asset Managers cut their net long from 77,790 to 65,381 (IDX 65 → 36).
- Commercials (the hedgers) are net short –62,092, about where they were last week (–63,576). Their COT Index is 28, which is low but not at the ≤20 extreme. It has held between 25 and 29 for five weeks.
- Retail stays long and keeps adding (+13,253 net vs +12,850, IDX 75 vs 74). Retail and hedge funds are long while Commercials lean short, so Commercials and the speculators are on opposite sides. But Commercials are not at an extreme, which is the condition that would turn this into a setup.

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Positioning in NQ is lopsided but does not yet meet our rule. Hedge funds have gone from heavily short to their longest reading in the 70-week window, and retail is long and rising. That is the speculator half of a bearish setup. The other half is missing: Commercials sit at IDX 28, not at the ≤20 extreme that would show the hedgers pressing against the crowd. Under our rule, a stretched speculator long is never a lean by itself, in either direction. The covering also slowed sharply this week (+1,351 after +12,543), so the squeeze has stalled rather than accelerated. Watch Commercials. If their index drops to 20 or below while hedge funds or retail stay at 80+ (hedge funds are at 86 now), NQ becomes a Bearish COT setup.

TRADING PLAN — Mon/Tue

Bias: No COT edge — trade v7 signals on their own at standard size. No COT setup this week. Commercials are at IDX 28 and the rule needs 20 or lower. Hedge funds (Leveraged Funds IDX 86) are already stretched long, so only the Commercial side is missing. Take Range Reversal and Box Break signals in either direction at the normal 0.5% risk, and Mid Continuation at its normal 0.25%. Do not add size to longs because hedge funds are long, and do not fade them early. If next Friday's release shows Commercials at 20 or below with hedge funds or retail still at 80+, NQ shorts get COT support.

GOLD

Managed Money: BEARISH (IDX 20) | **Broad NonComm: NEUTRAL (IDX 57)** | **DIVERGENT**

4-Week Positioning Trend — Managed Money (net contracts)

	09/29	10/06	10/13	10/20	10/27
MM Net Long	124,418	114,820	111,079	108,685	107,404

Weekly Δ	-6,916	-9,598	-3,741	-2,394	-1,281

Positioning Breakdown

- **Managed Money has cut its net long for nine straight weeks, but the selling is slowing.** Net long fell from 151,315 (08/25) to 107,404, and from 131,334 (09/22) over the five weeks shown. The weekly cuts shrank each week after the 10/06 peak: –9,598 → –3,741 → –2,394 → –1,281. The COT Index went 42 → 30 → 25 → 22 → 20, which is the low end of its 66-week range. Managed Money is still net long; it is just the least long it has been in that window.
- Source 2 (Tradingster Non-Commercial) disagrees. It is Neutral at IDX 57 (net long 186,451), so the alignment is **DIVERGENT**. Its drop picked up speed this week, though: –13,414 contracts, from IDX 61 to 57. Its net long has fallen every week shown (218,632 → 186,451; IDX 66 → 63 → 63 → 61 → 57).
- **Commercials (bullion banks) cut their net short sharply this week**, from –235,582 to –215,624 (+19,958), and their COT Index rose from 36 to 41. That is the hedger side buying back while speculators sell, but at 41 Commercials are mid-range, nowhere near the ≥80 extreme.
- Retail cut longs hard too (net +29,173 vs +35,717, IDX 70 → 54). That flipped Retail from Bullish to Neutral in one week and removed the stretched-crowd reading that had been building for a month.

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Gold's positioning is moving in the direction a bullish setup needs, but it is far from complete. Managed Money has washed out to IDX 20, which is the hedge-fund half of a Bullish COT setup on its own. Commercials are covering and Retail is leaving. But the rule needs Commercials at the ≥80 extreme, and they are at 41, so the gap is wide. A 5-point move in a week is real, but at that pace the threshold is a long way off. Source 2 also has not reached an extreme (57), so the two speculator measures disagree on how washed-out funds really are. None of this supports a lean either way. A low Managed Money reading without Commercials at an extreme is not a buy signal, and nine weeks of liquidation is not a short signal under our rule.

TRADING PLAN — Mon/Tue

Bias: No COT edge — trade v7 signals on their own at standard size. No COT setup this week. Commercials are at IDX 41 and a Bullish setup needs 80 or higher. Managed Money (IDX 20) is already at the opposite extreme, so only the Commercial side is missing, but the gap is wide. Range Reversal is off on Gold by default, so take Box Break (0.5%) and Mid Continuation (0.25%) signals in either direction at normal size. Do not buy early because funds look washed out, and do not short because funds keep selling. Keep watching Commercial covering. If Commercials reach 80+ while Managed Money, Non-Commercial or Retail are at 20 or below, Gold longs get COT support.

Sources: CFTC TFF Leveraged Funds (NQ) / Disaggregated Managed Money (Gold), Tradingster Legacy Non-Commercial + Commercial/Non-Reportable breakdown. COT Index = Larry Williams percentile (TFF/Disaggregated over the dashboard's ~70/66-week window; Tradingster over its full history). Bullish ≥60 | Bearish ≤40 | Neutral 40-60. COT setup rule: Commercial IDX ≥80 with hedge funds and/or Retail ≤20 = Bullish setup; Commercial ≤20 with hedge funds and/or Retail ≥80 = Bearish setup; anything else = no COT edge. No independent third-source check exists for NQ or Gold (no viable free data feed), so both instruments use two COT sources only.